LAWS1150/JURD7150 Principles of Private Law

Mid-Term Assignment for T3, 2026

Maximum Word Length: 1,500 words

Due Date: Monday, 19 October 2026 at 9:00am

(see Moodle for additional instructions)

PROBLEM QUESTION

Mr Grace and Mr Rocky are both project developers who pursued various projects together since 2017 to stellar success.

In January 2020, Grace and Rocky agreed to develop a project which they named the 'Hail Mary Project'. Grace and Rocky entered into a legally binding agreement that determined the scope of their development relationship and included a valid and binding clause that if the Project made a profit, Rocky, as the investor for the Project, would be repaid his investment and a portion of the profit in priority to Grace (the '**Development Agreement'**).

Over the course of the Hail Mary Project, there were a number of unavoidable delays due to COVID-19 related public health orders that affected the ability for construction to proceed. In January 2024, the Hail Mary Project was near completion, and Rocky and Grace realised that the profit from the Project would be minimal and, due to the terms of their Development Agreement, Grace was unlikely to make a profit.

At this time, Grace was experiencing significant financial difficulties and had been relying on expected profits from the Hail Mary Project. He was quite angry at Rocky, who he blamed for the delays to the Project, and demanded Rocky's assistance. On 5 February 2024, Grace called Rocky and proposed that Rocky offer Grace a '$1 million dollar working capital loan for 2 years at 5% interest'. Rocky told Grace he was not interested in offering Grace a long-term loan but proposed that they meet in person to discuss.

On 12 February 2024, Rocky and Grace met in person. Later that same day, Rocky sent an email to Grace confirming the details of their discussion. The email read as follows:

> '*Mr Grace,*
>
> *Confirming discussions from our meeting this morning:*
>
> - *I will lend $1 million to you by 15 February for 1 year at a rate of 5% interest subject to satisfactory conditions.*
> - *Potential project over in Eastwood subject to success of Hail Mary Project.*

- *Threatened litigation from subcontractor from Bowral Project – wait and see at present.*

Please confirm agreement.

Rocky'

Grace responded to the email 15 minutes later saying, 'Mr Rocky, Confirmed. Best, Grace.'

On 27 February 2024, Rocky asked A-Maize Pty Ltd, ('**AMPL**') a company owned and controlled by Rocky's cousin, Pierre, to advance $1,150,000 to Grace. Pierre agreed to provide the money to Grace and the $1,150,000 was advanced by AMPL on the same day.

On 8 April 2024, Rocky, Grace, and Pierre attended a meeting at AMPL's office. At the meeting, AMPL and Grace entered into a written loan agreement (the '**Loan Agreement'**). The loan was recorded as $1,150,000 ('**Loan'**) with an interest rate of 4% per annum. Interest was to be paid by Grace monthly, and the Loan was repayable at the expiry of 12 months.

The Loan Agreement also included a clause that Rocky personally guaranteed repayment of the Loan. Pierre expressed during the meeting that he expected Rocky to ensure that Grace made all payments under the Loan Agreement promptly. Rocky said, 'I will do that if you also promise to pay $10,000 to me directly once Grace repays the Loan.' Pierre agreed and the clause was included in the Loan Agreement before it was signed by Grace and AMPL.

Between 8 April 2024 and 8 February 2025, Grace made appropriate monthly repayments of the interest on the Loan to AMPL. Throughout this period Rocky would check in consistently with Grace via email.

On 13 February 2025, Rocky sent an email to Grace asking, 'when and how [Grace] intend[ed] to repay the principal of the Loan – the $1.15m?'. Grace did not respond to Rocky's email by 27 February 2025 and did not respond to Rocky's subsequent emails of 28 February 2025 and 2 March 2025.

On 5 March 2025, Rocky instructed his solicitor to send a letter of demand to Grace requiring repayment of the principal amount under the Loan Agreement with AMPL. In response to the letter of demand, on 7 March 2025, Grace called Rocky and said, 'I never signed anything with you, so you can't enforce anything. Leave me alone!'

On that same date, AMPL contacted Grace directly, however, Grace refused to pay, saying, 'I have until 8 April 2025 to repay and you won't see a cent before then'. AMPL argued that the Loan was advanced on 27 February, and thus the 12 months had begun then. Grace disagreed, saying, 'if you don't leave off, I might not pay at all!'

Unfortunately, AMPL required the $1,150,000 as soon as possible and so on 9 March 2025, when Grace had not yet repaid the Loan, AMPL called for payment of the Loan under the personal guarantee provided by Rocky.

Assuming that all of the above takes place in New South Wales, advise Rocky on the success of any contractual claims he could make.

In your answer, only consider the course materials from weeks 1 to 4 of Principles of Private Law.